

using AI and cloud infrastructure. They are optimising for speed, product quality and capital efficiency from day one. The playbook has shifted from ‘raise first, build later’ to ‘build first, scale intelligently,’” she says.

The early signs are already visible. A recent LinkedIn study found India recorded the highest year-on-year growth of 104% in the number of members adding the “Founder” title to their profiles. It also found that 77% of founders believe AI has made entrepreneurship more accessible by lowering barriers such as cost, expertise and access to networks.

Among Gen Z founders, 73% reported managing multiple income streams while using AI to start or expand businesses, reflecting the rise of a more flexible, AI-enabled entrepreneurial culture.

As a result, founders are placing greater emphasis on proprietary technology, long-term value creation and disciplined execution than on chasing growth at any cost.

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CHANGING NATURE OF SUCCESS

For India’s first generation of start-up founders, success was often measured by user growth, fund-raising milestones and unicorn valuations (start-ups worth at least \$1 billion). Today’s investors and founders are redefining those metrics.

“It’s not a choice between building billion-dollar companies and sustainable ones,” says Rath. “What’s changed is the maturity of both founders and the investor ecosystem. Capital efficiency has become a core operating principle—not because founders are less ambitious, but because sustainable economics are now seen as the foundation for building enduring billion-dollar businesses.”

Anirudh Sharma, 27, co-founder of Digantara, says that when India’s start-up ecosystem was taking shape, most companies were focused on solving consumer problems because that was where the opportunity—and the capital—was.

“Back then, we didn’t have a strong R&D (research and development) ecosystem to build deep-tech companies,” he says.



After replicating global models for India and then creating India-first innovations, Gen Z founders are now building technologies designed to compete globally



Young founders are prioritising long-term technology leadership, proprietary IP and institution-building



AI has lowered the barriers to entrepreneurship, enabling leaner teams and faster product development



Instead of raising the largest rounds of possible funding, many Gen Z founders believe in building more with less



Whether in space technology, aerospace or AI, India’s newest entrepreneurs are thinking beyond quick exits

Digantara is a Bengaluru-based space surveillance company founded in 2018 that is building what Sharma describes as a “GPS for space.” GPS is short for Global Positioning System, a satellite-based radio navigation system.

Digantara tracks satellites, debris and other objects in Earth’s orbit using a proprietary network of space- and ground-based sensors. The company recently raised \$50 million in funding led by Reliance Industries, with participation by 360 ONE, SBI Ventures, Ronnie Screwvala and existing investors Peak XV Partners and Kalaari Capital at a valuation of \$200 million.

THEN AND NOW

In the early years of start-ups, founders were under pressure to hit growth milestones quickly to unlock subsequent rounds of funding. That naturally steered entrepreneurs towards consumer Internet businesses with faster paths to scale and monetisation.

“Over the last five or six years, that has changed. India is now seeing a wave of deep-tech entrepreneurs building technology-driven businesses,” says Sharma.

That ambition is also changing how young founders think about growth and fundraising. Unlike the start-up boom years, capital these days is only valuable if it accelerates technology development, says Sharma. “I want to raise as little as possible and build as much as possible,” he says. “The moat is being able to build technology faster. In the AI era, time matters much more than just capital.”

Sudarshan Kamath, 29, co-founder of AI voice start-up smallest.ai, says AI has also changed what founders spend capital on. While the AI boom has pushed fundraising and valuations to record highs, he argues that the nature of spending has fundamentally shifted.

“People are raising more capital than ever,” he says. “But the capital is going towards AI infrastructure, not people. Companies are spending on compute, tokens and tools rather than hiring.”

Sharma and Pushp echo a common belief that India’s newest founders are